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Navigating the MiCA, PSD2 and PSD3/PSR Interplay for EMT Services

Guidance on the next phase of EU payment and crypto-asset regulation

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Electronic money tokens (EMTs) are regulated across both MiCA and EU payment-services law. Under MiCA, an EMT is a crypto-asset that references a single official currency. At the same time, MiCA deems EMTs to be electronic money, which brings them within the concept of "funds" under the payment-services framework.

This dual character has created a practical problem for crypto-asset service providers (CASPs), payment service providers (PSPs), token issuers, and payment-focused fintechs: the same customer journey can be subject to MiCA and PSD2 at the same time.

The forthcoming Payment Services Directive (PSD3) and Payment Services Regulation (PSR) are designed to clarify this overlap. The negotiated text narrows the circumstances in which EMT activity is treated as a payment service, creates express exclusions for many investment and trading flows, and streamlines the authorisation process where a CASP genuinely needs payment permissions.

It does not, however, remove the payment-services perimeter altogether. A CASP that executes EMT transfers on behalf of clients for payment purposes will generally still need to be authorised as a payment institution, or work with an authorised payment partner.

This paper explains the expected future framework, how it differs from the current PSD2 position, and how firms can structure EMT services proportionately during the transition.

This paper should be read together with our earlier guidance:

- Navigating the MiCA-PSD2 Interplay for EMTs
- Navigating the MiCA-PSD2 Interplay for Non-EMTs

1. Introduction

MiCA established a harmonised European framework for crypto-assets, their issuers, and CASPs. It did not replace payments regulation. Instead, MiCA acknowledges that some crypto-asset services, particularly those involving EMTs, may also constitute payment services.

The result is a layered framework:

- MiCA regulates the crypto-asset, the issuer, and crypto-asset services.
- PSD2 currently regulates payment-service authorisation and conduct.
- PSD3 will replace PSD2's authorisation and supervision framework.
- PSR will apply directly across the EU to payment-service conduct, user rights, security, transparency, and liability.

The key question remains the same:
Is the firm providing a crypto-asset service, a payment service, or both?

EPSD3 and PSR make that question easier to answer. They do not make it irrelevant.

As of this paper's publication, the PSD3/PSR package has reached a final negotiated compromise but still requires formal adoption before it becomes law. Until then, PSD2 and MiCA remain the applicable framework.

2. Regulatory Foundations

2.1 EMTs Have a Dual Nature

MiCA Article 48(2) states that EMTs are deemed to be electronic money. As electronic money, EMTs are also “funds” for payment-services purposes.

This is the legal bridge between MiCA and PSD2.

An EMT can therefore be:

- A crypto-asset under MiCA.
- Electronic money issued under the relevant MiCA and payments rules.
- Funds when it is used in a payment transaction.

This does not mean that every EMT activity is automatically a payment service. The service being provided remains decisive.

2.2 MiCA's Existing Position

MiCA Article 70(4) allows CASPs to provide payment services related to the crypto-asset services they offer, either directly or through a third party, provided that the CASP or the third party is authorised under PSD2.

MiCA therefore already recognises two compliance routes:

- A CASP obtains the relevant payment authorisation itself.
- A CASP partners with a suitably authorised PSP.

MiCA also requires CASPs to explain to clients whether payment services are provided directly or by a third party.

2.3 PSD2's Current Position

Under PSD2, a transfer of EMTs may be a payment transaction because EMTs are electronic money and therefore funds.

The EBA's 2025 No-Action Letter[1] and follow-up 2026 Opinion[2] clarified that the greatest PSD2 risk arises where a CASP:

- Holds EMTs in custody for clients.
- Executes EMT transfers on behalf of clients.
- Enables payment-like use of EMTs.
- Transfers EMTs from a custodial wallet to another address, including the client's own self-hosted address.

The original transition period ended on 2 March 2026. Firms providing EMT services that qualify as payment services should now have a payment authorisation, an authorised partner, or a narrowly managed pending authorisation process accepted by their competent authority.

3. What PSD3 and PSR Change

3.1 The Starting Point

PSD3 and PSR do not make EMTs less regulated. They make the boundary between crypto-asset services and payment services clearer.

The practical starting point is:

- EMTs are "funds" under PSR Article 3(30).
- A CASP transfer of EMTs for a client can be a payment transaction under PSR Article 3(5) and a payment service under PSD3 Annex I, point 2.
- PSR Article 2(2) sets out specific exclusions.
- PSD3 recital 16 explains how those rules apply to EMT custody, transfer, exchange, and placing services.

This is the future framework. Until PSD3 and PSR are formally adopted and apply, the current PSD2 position, including the EBA Opinions described in Chapter 2, remains relevant.

3.2 What Falls Outside the Future Payment Perimeter

The negotiated text clearly excludes several EMT activities:

- A direct EMT transfer between two self-hosted addresses, with no intermediary involved (PSR Article 2(2)(a1)).
- Custody and administration on their own, without an accompanying transfer service (PSD3 recital 16).

1. EBA publishes No Action letter on the interplay between Payment Services Directive (PSD2/3) and Markets in Crypto-Assets Regulation (MiCA) | European Banking Authority
2. Opinion of the European Banking Authority on the supervisory priorities at the end of the transition period under the EBA's No Action letter on the interplay between PSD2 and MiCA

- EMTs used as collateral for a financial-instrument transaction, and placing of crypto-assets on its own (PSD3 recital 16).
- A CASP acting in its own name to exchange EMTs for funds or crypto-assets, and specified exchange intermediation between buyers and sellers (PSR Article 2(2)(ha)).

PSR recital 29a also explains that the trading and investment exclusion can cover the relevant platform, order-reception, order-transmission, and order-execution flows.
The service label is not enough. A product called a trading platform or brokerage service is excluded only where the actual EMT transaction meets the Article 2 conditions.

3.3 What Can Remain a Payment Service

The exclusions do not cover every EMT transfer. A CASP transfer service may still be a payment service where EMTs are used to pay for goods or services.

Typical examples are:

- A custodial wallet that lets a customer pay a merchant in EMTs.
- A payroll, remittance, or payout provider sending EMTs to employees, suppliers, or other recipients.
- A platform collecting EMTs from a customer and paying a merchant or supplier.
- A CASP executing outbound EMT transfers as a payment function rather than as part of an excluded trade.
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First-party transfers need one simple distinction. PSR excludes a transfer only where there is no intermediary, such as a self-hosted wallet-to-self-hosted wallet transfer. It does not create a general exclusion because the customer owns both addresses.

A transfer from a CASP's custodial wallet to the customer's self-hosted wallet remains intermediated and is not covered by the direct-transfer exclusion. Article 70 specifically addresses this type of EMT payment transaction.

A payment account is a separate concept. A custodial wallet can be a payment account if it is held by a PSP and allows transfers to and from third parties (PSR Article 3(15)). A wallet limited to self-hosted withdrawals will generally not be a payment account. That does not, by itself, take the custodial transfer outside the payment-services perimeter.

3.4 A Simple Product-Flow Test

The correct question is not "is this a wallet?" It is "what does the product do?"

- Is the transfer direct between two self-hosted addresses, with no intermediary? If so, it is excluded.
- Is it a specified exchange or investment transaction under Article 2(2)(ha)? If so, it may be excluded.
- Is the CASP merely providing custody? If so, custody alone is not a payment service.

- Is the CASP moving EMTs for a client as payment, a payout, or a remittance? If so, payment-services rules may apply.

If the transfer is in scope, Chapter 5 explains the relevant PSR obligations and the DLT-specific adjustments in Articles 67a and 70.

4. The Future Authorisation Framework

4.1 CASP-Led Model: MiCA Authorisation Plus Payment Permission

A CASP that provides an EMT payment service will continue to need payment permissions. PSD3 makes this route less duplicative. A MiCA-authorised CASP applying for a payment-institution authorisation can reuse substantial parts of the information already submitted in its MiCA application, subject to updates and payment-specific additions.

For CASPs that intend to provide payment services only with EMTs, the negotiated PSD3 text provides for a 60-business-day decision process once the application is complete.

This is a meaningful operational improvement. It is not a full exemption from payment authorisation.

The CASP still needs to demonstrate:

- Adequate governance.
- Payment-specific security controls.
- Payment fraud and incident procedures.
- Initial capital and own funds.
- Safeguarding arrangements where relevant.
- A compliant programme of operations.

4.2 Partner Model: CASP Plus Authorised PSP

A CASP may instead work with an authorised PSP.

This model can be appropriate where the CASP's core business is crypto-asset custody, trading, brokerage, or technology, rather than regulated payment execution.

Under a well-structured arrangement:

- The CASP remains responsible for its MiCA-regulated crypto-asset services.
- The PSP provides the payment services within its authorisation scope.
- Customer documentation clearly identifies each party's role.
- Operational responsibility for safeguarding, payment execution, authentication, fraud handling, and complaints is allocated clearly.

- The customer experience remains coherent even where regulatory responsibilities are divided.

A partner does not remove the need for a CASP licence where the firm provides MiCA-regulated services itself. It removes the need for the CASP to obtain and operate a second payment licence for services delivered by the authorised partner.

4.3 PI-Led Model: Payment Institutions Entering EMT Services

The proposed PSR amends MiCA Article 60 to create a limited notification route for payment institutions.

A payment institution already authorised under PSD3 may use this route only for EMT crypto-asset services provided for payment purposes and equivalent to payment services within its authorisation. It must notify its competent authority at least 40 working days in advance.

The notification-equivalence list includes:

- Custody and administration of crypto-assets.
- Exchange of crypto-assets for funds or other crypto-assets.
- Transfer services for crypto-assets on behalf of clients.
- Execution of orders for crypto-assets on behalf of clients.
- Reception and transmission of orders for crypto-assets on behalf of clients.

This is an authorisation bridge, not a new payment-services classification rule. It does not override the Article 2 exclusions or make every listed crypto-asset service a payment service. It allows a payment institution to provide only the equivalent EMT services needed for its authorised payment activity.

4.4 EMT Issuers

MiCA requires an EMT issuer to be a credit institution or electronic money institution. PSD3 combines the electronic-money-institution regime into the broader payment-institution framework.

In practice, this means EMT issuers will need to consider:

- Payment-institution or credit-institution authorisation.
- MiCA white-paper obligations.
- Issuance at par value on receipt of funds.
- Redemption at par value.
- MiCA rules on safeguarding funds received in exchange for EMTs.
- Any additional crypto-asset services provided alongside issuance.

Issuance, custody, transfer, exchange, and payment execution should be analysed separately. A firm may be authorised for issuance but still need additional permissions or a partner for other parts of the customer journey.

5. Compliance Obligations for In-Scope EMT Payments

Where EMT activity qualifies as a payment service, the future PSR framework applies payment-grade rules to the service.

Key areas include:

- Strong customer authentication for access to relevant custodial wallets and for initiating EMT transfers.
- Fraud prevention and fraud reporting.
- Liability for unauthorised transactions.
- Rules on incorrectly executed or non-executed payment transactions.
- Information to users on charges, execution, and contractual terms.
- Payment security, incident management, and governance.
- Execution-time obligations for in-scope EMT payment transactions, including custodial-to-self-hosted transfers.

The rules are not a perfect copy of traditional bank-transfer regulation.

The negotiated PSR recognises DLT-specific constraints. Where a provider cannot know the final on-chain fee or maximum execution time in advance for reasons outside its control, it may provide a reasoned estimate rather than an exact figure.

The future framework also excludes certain conventional payment rules from EMT transactions, including relevant open-banking and verification-of-payee obligations. This reflects the fact that public blockchain addresses and custodial-wallet architecture do not map neatly onto IBAN-based payment systems.

Safeguarding is also better aligned. For payment institutions issuing EMTs, the proposed PSD3 text applies MiCA's safeguards for funds received in exchange for EMTs, rather than duplicating generic payment-institution safeguarding for the EMT itself.

6. The Short-Term Licensing Problem

The transition from PSD2 to PSD3/PSR creates a difficult commercial question.
A firm may currently need a PSD2 payment licence because its EMT service is treated as a payment service today. If PSD3/PSR is adopted in its negotiated form, activities that meet a specific exclusion - for example, a qualifying trading or exchange flow - may later fall outside the payment-services perimeter.

For a firm whose only potential payment activity is expected to fall within a future exclusion, obtaining and maintaining a full payment-institution licence can be disproportionately costly.

A payment licence is not a simple registration. It requires:

- Significant legal and compliance work.
- Prudential capital.
- Detailed governance and risk management.
- Payment-security controls.
- Ongoing reporting and supervisory engagement.
- Fraud-management and customer-protection processes.
- Cumulative capital requirements in addition to MiCA.
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The future scope change does not create a current exemption. A firm cannot assume that it may disregard PSD2 because it expects its model to be excluded under PSD3/PSR.

However, it is commercially sensible to ask whether building a full payment-institution operation for a limited interim period is proportionate to the firm's actual business model and long-term regulatory footprint.

For many firms, a PSP partnership can offer a more measured solution during the period in which PSD2 continues to apply.

This is particularly relevant where:

- The core business is trading, custody, brokerage, or technology.
- EMT payment transfers are limited in volume or secondary to the product.
- The firm expects to rely on a future trading or investment exclusion.
- The firm wants to avoid building a payments compliance function that may not be central to its long-term model.
- The firm needs to launch or maintain EMT functionality while a future scope analysis remains uncertain.

The decision should always be based on the actual product flow and local supervisory expectations, not on the expectation that every EMT service will become exempt.

7. Practical Impact by Business Model

7.1 CASPs

CASPs should separate their EMT activity into distinct flows:

- Custody only.
- Trading and exchange.

- Settlement of investment transactions.
- Third-party payment transfers.
- Merchant payments.
- Employee, contractor, or supplier payouts.
- Custodial-to-self-hosted withdrawals.
- Fiat on-ramps and off-ramps.

The key distinction is the actual flow: an unmediated self-hosted transfer or qualifying trading transaction may be excluded, while a CASP moving EMTs for a client as a payment may remain in scope.

7.2 PSPs and Electronic Money Providers

PSPs should assess whether their existing permissions, governance, and systems are sufficient for EMT-related payment activity.

They should consider:

- Whether the planned EMT services are genuinely equivalent to their authorised payment services.
- Whether they can use the proposed MiCA notification route.
- How custody, key control, AML, sanctions screening, and on-chain execution are handled.
- Whether their customer-protection and fraud controls work for blockchain-based transfers.
- How responsibility is allocated when they work with a CASP.

7.3 Trading Platforms and Brokers

Platforms should distinguish trading settlement from payment execution.

The expected PSR exclusions are most relevant where the actual EMT transaction is a qualifying investment or trading flow. A platform should nevertheless review whether it also:

- Holds funds for customers.
- Pays third-party merchants.
- Disburses fiat proceeds.
- Offers cards or payment accounts.
- Executes customer EMT transfers outside its trading environment.

Those additional features may create a payments perimeter even where the core exchange activity is excluded. The platform should assess each flow separately rather than rely on its trading label.

7.4 Payroll, Payout and Merchant-Payment Providers

These models remain among the most likely to require payment permissions.

A service that receives value from one customer, converts it into EMTs, and transfers EMTs to employees, suppliers, merchants, or other recipients is much closer to a traditional payment service than to investment trading.

Where their EMT transfers do not fit a specific exclusion, these firms should expect payment-services exposure under the future framework and consider a direct licence or regulated-partner model.

8. How Januar Can Help

Januar operates at the intersection of payments and crypto-asset services. As a Danish Payment Institution and MiCA-authorised CASP, Januar can help firms structure EMT services without requiring every firm to build and maintain its own dual-licensed operating model.

Januar can support CASPs, PSPs, issuers, platforms, and other entities with:

- Payment infrastructure for incoming and outgoing payment flows.
- Dedicated business accounts and embedded account capabilities.
- EUR payment rails and account functionality.
- EMT custody and wallet infrastructure.
- Regulated execution of relevant payment and transfer flows.
- Fiat-to-crypto and crypto-to-fiat settlement support.
- Product and operating-model design that separates MiCA services from payment services.

A partnership model can be particularly appropriate where a firm needs EMT payment functionality today but does not intend to build a permanent payment-institution operation for an activity that may later fall within a PSD3/PSR exclusion.

This is not about avoiding regulation. It is about placing the regulated activity with the entity that is authorised, operationally prepared, and supervised to provide it.

A well-designed partnership can allow a client to:

- Retain ownership of its customer proposition and crypto-asset product.
- Maintain its MiCA responsibilities where it provides crypto-asset services.
- Use an authorised payment layer for in-scope EMT transfers.
- Reduce the cost and delay of obtaining a second authorisation for a limited payment use case.
- Adapt the structure as PSD3 and PSR are formally adopted and their application dates become clear.

The allocation of roles should always be transparent to customers and clearly documented between the parties.

9. Conclusion

PSD3 and PSR are expected to bring a more workable framework to the MiCA-payments overlap.

Their central effect is not to make EMTs less regulated. It is to make the boundary more precise. Investment, trading, and direct self-hosted use cases should benefit from clearer exclusions. Under the negotiated future text, custody on its own would not constitute a payment service. Custodial EMT transfer services used for real-world payments can, however, remain within the payment-services perimeter.

Firms should not wait for the future framework to assess their current PSD2 position. The EBA transition period has ended, and in-scope payment services require a credible authorisation or partnership solution today.

For firms whose long-term model is primarily MiCA-regulated, rather than payments-regulated, partnering with an authorised provider such as Januar can be a proportionate way to offer EMT functionality now while avoiding unnecessary duplication of regulatory infrastructure.

Further Reading

- MiCA: Regulation (EU) 2023/1114
- PSD3 final compromise text
- PSR final compromise text
- EBA No-Action Letter on the PSD2-MiCA interplay
- EBA Opinion on the end of the transition period
- Navigating the MiCA-PSD2 Interplay for EMTs
- Navigating the MiCA-PSD2 Interplay for Non-EMTs

Disclaimer

This whitepaper is for informational purposes only and does not constitute legal advice. The PSD3 and PSR texts discussed in this paper have not yet completed formal adoption and may change before publication in the Official Journal. Regulatory interpretations may also vary between Member States. Firms should obtain qualified legal advice before making licensing, product-design, or operating-model decisions. For a list of crypto specialised law firms visit: https://www.januar.com/legal-partners

About Januar

Januar is a Danish Payment Institution and MiCA-authorised Crypto-Asset Service Provider supporting financial institutions and businesses handling EMT and crypto across the EEA. Januar provides payment accounts on its own IBANs, payment infrastructure, embedded account and wallet capabilities, crypto/EMT custody, crypto/EMT transfer services, trading and settlement services designed for financial institutions and businesses operating across traditional finance and digital-asset markets.